

MANAGEMENT'S DISCUSSION AND ANALYSIS AND CONSOLIDATED FINANCIAL STATEMENTS

For the years ended December 31, 2025 and December 31, 2024

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Tourmaline Oil Corp.

Opinion

We have audited the consolidated financial statements of Tourmaline Oil Corp. (the Entity), which comprise:

- the consolidated statements of financial position as at December 31, 2025 and December 31, 2024
- the consolidated statements income and other comprehensive income for the years then ended
- the consolidated statements of changes in equity for the years then ended
- the consolidated statements of cash flow for the years then ended
- and notes to the consolidated financial statements, including a summary of material accounting policy information

(Hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Entity as at December 31, 2025 and December 31, 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the "***Auditor's Responsibilities for the Audit of the Financial Statements***" section of our auditor's report.

We are independent of the Entity in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended December 31, 2025. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matter described below to be the key audit matter to be communicated in our auditor's report.

The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Entity to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- Provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.
- Determine, from the matters communicated with those charged with governance, those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditor's report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

(*signed*) "KPMG LLP"

Chartered Professional Accountants

The engagement partner on the audit resulting in this auditor's report is Brad William Robertson.

Calgary, Canada

March 4, 2026

CONSOLIDATED FINANCIAL STATEMENTS

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	As at December 31,	
(000s)	**2025**	**2024**
Assets		
Current assets:		
Accounts receivable	**$ 775,328**	$ 792,072
Income tax receivable	**26,809**	39,919
Prepaid expenses and deposits	**130,893**	83,032
Fair value of financial instruments *(note 4)*	**181,352**	437,739
Assets held for sale *(note 5)*	**862,864**	–
Total current assets	**1,977,246**	1,352,762
Long-term asset	**17,532**	8,527
Fair value of financial instruments *(note 4)*	**502,106**	667,359
Exploration and evaluation assets *(note 6)*	**135,446**	191,081
Property, plant and equipment *(note 7)*	**19,620,271**	19,633,286
Right-of-use asset (*note 8*)	**36,540**	30,056
Investment in Topaz (*note 11*)	**332,466**	428,472
Total Assets	**$22,621,607**	$ 22,311,543
Liabilities and Shareholders Equity		
Current liabilities:		
Accounts payable and accrued liabilities	**$ 1,362,328**	$ 1,329,626
Fair value of financial instruments *(note 4)*	**45,676**	122,374
Liabilities held for sale *(note 5)*	**105,514**	–
Lease liabilities *(note 8)*	**8,034**	8,385
Decommissioning obligations *(note 9)*	**75,000**	60,000
Current debt *(note 10)*	**800,000**	–
Total current liabilities	**2,396,552**	1,520,385
Fair value of financial instruments *(note 4)*	**17,088**	141,538
Lease liabilities *(note 8)*	**30,343**	23,004
Decommissioning obligations *(note 9)*	**763,538**	950,459
Long-term debt *(note 10)*	**1,052,914**	1,272,775
Deferred taxes *(note 14)*	**2,924,894**	2,859,818
Shareholders' equity:		
Share capital *(note 12)*	**10,673,117**	9,856,122
Contributed surplus	**501,768**	426,902
Retained earnings	**4,261,393**	5,260,540
Total shareholders' equity	**15,436,278**	15,543,564
Total Liabilities and Shareholders' Equity	**$22,621,607**	$ 22,311,543

Commitments (note 21).

Subsequent events (notes 4 and 5).

See accompanying notes to the consolidated financial statements.

CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME

(000s) except per-share amounts	Years Ended December 31, 2025	2024
Commodity sales from production *(note 13)*	**$ 4,940,024**	$ 4,729,771
Premium on risk management activities (*note 13)*	**1,230,294**	828,468
Marketing revenue (*note 13)*	**132,679**	91,804
Royalties	**(513,879)**	(509,252)
Other income (*note 17*)	**31,399**	42,105
Realized gain on financial instruments	**420,981**	486,534
Unrealized (loss) on financial instruments *(note 4)*	**(221,528)**	(298,559)
	6,019,970	5,370,871
Expenses:		
Operating	**1,148,182**	1,006,541
Transportation	**1,198,061**	1,082,592
Marketing purchases *(note 13)*	**117,826**	69,129
General and administration	**182,006**	164,100
Share-based payments	**69,527**	63,857
Depletion, depreciation, amortization and impairment *(notes 5, 6, 7 and 8)*	**3,000,251**	1,551,963
Realized foreign exchange (gain) loss	**34,468**	(37,491)
Unrealized foreign exchange (gain) loss	**991**	(15,354)
Income from investment in Topaz (*note 11)*	**(75,990)**	(14,315)
(Gain) on acquisitions and divestitures	**(110,643)**	(278,865)
Total expenses	**5,564,679**	3,592,157
Income from operations	**455,291**	1,778,714
Finance expenses *(note 18)*	**111,385**	120,781
Income before taxes	**343,906**	1,657,933
Current tax expense *(note 14)*	**44,492**	84,165
Deferred tax expense *(note 14)*	**36,742**	309,659
Net income and comprehensive income	**$ 262,672**	$ 1,264,109
Net income per share *(note 15)*		
Basic	**$ 0.69**	$ 3.54
Diluted	**$ 0.68**	$ 3.51

See accompanying notes to the consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOW

	Years Ended December 31,	
(000s)	**2025**	**2024**
Cash provided by (used in):		
Operations:		
Net income	**$ 262,672**	$ 1,264,109
Items not involving cash:		
Depletion, depreciation, amortization and impairment *(notes 5, 6, 7 and 8)*	**3,000,251**	1,551,963
Accretion (*note 9*)	**35,162**	29,971
Lease interest expense (*note 8*)	**1,941**	1,766
Share-based payments	**69,527**	63,857
Current tax expense *(note 14)*	**44,492**	84,165
Deferred tax expense *(note 14)*	**36,742**	309,659
Unrealized loss on financial instruments (*note 4*)	**221,528**	298,559
Unrealized foreign exchange (gain) loss	**991**	(15,354)
Amortization on long-term asset	**2,795**	2,062
(Gain) on acquisitions and divestitures	**(110,643)**	(278,865)
Income from investment in Topaz (*note 11)*	**(75,990)**	(14,315)
Decommissioning expenditures (*note 9*)	**(79,445)**	(55,476)
Cash taxes paid	**(31,382)**	(526,768)
Cash paid on restricted share units settled	**(22,282)**	(13,031)
Dividends received from Topaz (*note 11*)	**41,057**	54,594
Changes in non-cash operating working capital	**(10,397)**	(27,116)
Total cash flow from operating activities	**3,387,019**	2,729,780
Financing:		
Issue of common shares	**38,484**	41,185
Lease payments (*note 8*)	**(11,778)**	(9,192)
Dividends paid (*note 12*)	**(1,261,819)**	(1,185,912)
Increase in current debt	**800,000**	–
Increase (decrease) in long-term debt	**(218,377)**	62,766
Total cash flow used in financing activities	**(653,490)**	(1,091,153)
Investing:		
Property, plant and equipment (*note 7*)	**(2,988,595)**	(2,226,070)
Property acquisitions *(note 7)*	**(19,307)**	(33,083)
Proceeds from divestitures (*note 7*)	**75,622**	357,692
Corporate acquisitions *(note 7)*	–	(169,040)
Proceeds from sale of investments (*note 11*)	**221,226**	331,465
Investment in long-term asset	**(11,800)**	–
Changes in non-cash investing working capital	**(10,675)**	100,409
Total cash flow used in investing activities	**(2,733,529)**	(1,638,627)
Changes in cash	–	–
Cash, beginning of period	–	–
Cash, end of period	**$ –**	$ –

Cash is defined as cash and cash equivalents.

See accompanying notes to the consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

AS AT DECEMBER 31, 2025 AND 2024

(tabular amounts in thousands of dollars, unless otherwise noted)

Corporate Information:

Tourmaline Oil Corp. (the "Company") was incorporated under the laws of the Province of Alberta on July 21, 2008. The Company's registered office is located at Suite 2400, 525 – 8th Avenue S.W., Calgary, Alberta, Canada T2P 1G1.

The Company is engaged in the acquisition, exploration, development and production of petroleum and natural gas properties. These consolidated financial statements reflect only the Company's proportionate interest in such activities and are comprised of Tourmaline Oil Corp., and its 100% owned subsidiary, Tourmaline Oil Marketing Corp.

On January 1, 2025, the Company's subsidiaries, Crew Energy Inc. ("Crew") and Todd Energy Canada Limited ("Todd"), were amalgamated with Tourmaline.

On June 6, 2025, the Company's newly acquired subsidiary, Saguaro Resources Ltd. ("Saguaro"), was amalgamated with Tourmaline.

OPERATING ENVIRONMENT

Numerous factors beyond the Company's control affect the marketability and price of crude oil, condensate, natural gas liquids ("NGLs") and natural gas which may be volatile for a number of reasons including uncertainties over the supply and demand of these commodities due to government policies (including trade policy), the current state of the world economies, sanctions or import bans, the imposition of tariffs, reshuffling of global trade flows, global macro-economic concerns, actions of OPEC+, political and geopolitical uncertainties and conditions and legal and regulatory changes and uncertainties, ongoing wars and hostilities or other adverse economic or political development in the United States, South America, Europe, Asia or the Middle East. Further, weakening global economic activity, inflation and corresponding higher interest rates, and the potential for a recession remain a risk to the pace of economic growth. Weather will continue to be a key driver of demand and impact natural gas prices.

Due to the uncertainty surrounding the magnitude, duration and potential outcomes of the above noted factors, the Company is unable, at this time, to predict its long-term impact on its operations, liquidity, financial condition and results, but the impact may be material.

See "Business Risks and Uncertainties" in the Company's December 31, 2025 MD&A for additional information regarding certain risks which Tourmaline and its business and operations are subject to.

Impact of climate change and related events on amounts recorded in the 2025 financial statements

(i) Impairment

The Company has considered the impact of the evolving worldwide demand for energy and global advancement of alternative sources of energy that are not sourced from fossil fuels in its assessment of impairment on its oil and gas properties as a possible indicator of impairment.

(ii) Reserves

The Company engages third-party external reserve engineer consultants to prepare the Company's reserve report. The reserve report includes anticipated impacts from emissions related taxes, most notably the reserve report includes estimated carbon tax related to the Company's operations.

1. BASIS OF PREPARATION

(a) Statement of compliance:

These consolidated financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the IASB.

The consolidated financial statements were authorized for issue by the Board of Directors on March 4, 2026.

(b) Basis of measurement:

The consolidated financial statements have been prepared on the historical-cost basis except for derivative financial instruments which are measured at fair value. The methods used to measure fair values are discussed in note 3.

Operating expenses in the consolidated statements of income and comprehensive income are presented as a combination of function and nature in conformity with industry practice. Depletion, depreciation, amortization and impairment are presented in separate lines by their nature, while operating expenses and net administrative expenses are presented on a functional basis. Significant expenses are presented by their nature in the notes to the financial statements.

(c) Functional and presentation currency:

These consolidated financial statements are presented in Canadian dollars. The functional currency of the Company is Canadian dollars and the Company's subsidiary, Tourmaline Oil Marketing Corp., has a functional currency of US dollars.

(d) Use of judgements and estimates:

The timely preparation of the consolidated financial statements requires management to use judgements, estimates and assumptions. These judgements, estimates and assumptions are subject to change and could differ from actual results. The key sources of estimation uncertainty that have a significant risk of causing a material adjustment to the reported amounts of assets, liabilities, revenues, expenses and the disclosure of contingencies are discussed below.

The following table demonstrates the effect that movements in the risk-free rate would have on the decommissioning obligation:

(000s)	As at December 31, 2025	As at December 31, 2024
1% increase	$ (238,340)	$ (274,044)
1% decrease	$ 328,797	$ 378,492

10. DEBT

(000s)	As at December 31, 2025	As at December 31, 2024
Commercial paper	**$ 800,000**	$ –
Revolving credit facility	**354,748**	534,646
Operating credit facility	**–**	40,731
Senior unsecured notes	**700,000**	700,000
Debt issue costs	**(1,834)**	(2,602)
Total debt	**$ 1,852,914**	$ 1,272,775
Current debt	**$ 800,000**	$ –
Long-term debt	**$ 1,052,914**	$ 1,272,775

Commercial paper

During the second quarter of 2025, the Company established a commercial paper ("CP") program, authorizing the Company to borrow up to $800.0 million of CP at any given time. As at December 31, 2025, the Company had $800.0 million of CP outstanding with an average term of 61 days and an average interest rate of 2.75%. The CP program is supported by the Company's revolving credit facility and the Company reserves capacity under its revolving credit facility for any CP amounts outstanding.

Credit facilities

The Company has a covenant-based, unsecured, five-year extendible revolving credit facility in place with a syndicate of banks in the amount of $2.55 billion, maturing in June 2030. The maturity date may, at the request of the Company and with consent of the lenders, be extended on an annual basis. The revolving credit facility includes an accordion feature, which allows the Company, upon approval from the lenders, to increase the facility amount by up to $1.0 billion by adding a new financial institution or by increasing the commitment of its existing lenders. The revolving credit facility can be drawn in either Canadian or U.S. funds and bears interest at the agent bank's prime lending rate, CORRA or SOFR (for U.S. borrowings), plus applicable margins.

Under the terms of the revolving credit facility, Tourmaline is subject to the following covenant, the ratio of total debt to total capitalization must not exceed 0.65:1. At December 31, 2025, the ratio of total debt to total capitalization was 0.11:1. As at, and for the year ending, December 31, 2025, the Company is in compliance with all debt covenants.

12. SHARE CAPITAL

(a) Authorized

Unlimited number of Common Shares without par value.

Unlimited number of non-voting Preferred Shares, issuable in series.

(b) Common Shares Issued

	Year Ended December 31, 2025		Year Ended December 31, 2024	
(000s) except share amounts	**Number of Shares**	**Amount**	Number of Shares	Amount
Balance, beginning of year	**373,684,018**	**$ 9,856,122**	351,350,749	$ 8,487,838
Issued on corporate acquisitions (*note 7*)	**12,125,327**	**767,186**	20,707,008	1,315,552
For cash on exercise of stock options (*note 16*)	**1,248,058**	**38,484**	1,626,261	41,185
Contributed surplus on exercise of stock options	**–**	**11,325**	–	11,547
Balance, end of year	**387,057,403**	**$10,673,117**	373,684,018	$ 9,856,122

Normal course issuer bid

The Company has a normal course issuer bid ("NCIB") in place. On August 6, 2025, the Company renewed its NCIB allowing up to 19,342,343 common shares, representing 5% of its common shares outstanding at July 31, 2025, to be purchased over a period of twelve months commencing on August 8, 2025 and expiring on August 7, 2026. Under the NCIB, common shares may be repurchased at prevailing market prices and any common shares that are purchased under the NCIB will be cancelled upon their purchase by the Company. For the year ended December 31, 2025, the Company did not purchase any common shares for cancellation.

Dividends

During the year ended December 31, 2025, the Company paid total base quarterly cash dividends of $2.00 per common share totalling $767.5 million. For the year ended December 31, 2024, the Company paid total base quarterly cash dividends of $1.32 per common share totalling $472.3 million.

On March 25, 2025, the Company paid a special dividend of $0.35 per common share totalling $131.0 million (March 21, 2024 - $0.50 per common share totalling $175.7 million).

On May 26, 2025, the Company paid a special dividend of $0.35 per common share totalling $131.1 million (May 16, 2024 - $0.50 per common share totalling $175.9 million).

On August 20, 2025, the Company paid a special dividend of $0.35 per common share totalling $135.4 million (August 21, 2024 - $0.50 per common share totalling $176.2 million).

On November 25, 2025, the Company paid a special dividend of $0.25 per common share totalling $96.8 million (November 26, 2024 - $0.50 per common share totalling $185.8 million).

13. REVENUE

The Company sells its production pursuant to fixed and variable priced contracts. The transaction price for variable priced contracts is based on the commodity price, adjusted for quality, location or other factors, whereby each component of the pricing formula can be either fixed or variable, depending on the contract terms. Under the contracts, the Company is required to deliver a fixed volume of crude oil, condensate, NGLs or natural gas to the contract counterparty. Revenue is recognized when a unit of production is delivered to the contract counterparty. The amount of revenue recognized is based on the agreed transaction price, whereby any variability in revenue related specifically to the Company's efforts to deliver production, and therefore the resulting revenue is allocated to the production delivered in the period during which the variability occurs. As a result, none of the variable revenue is considered constrained.

The sales of produced commodities are under contracts of varying terms of up to twelve years. Revenues are typically collected on the 25th day of the month following production.

The following table presents the Company's oil, gas and NGL sales disaggregated by revenue source:

	Years Ended December 31,	
(000s)	**2025**	**2024**
Natural gas		
Sales from production	**$ 2,308,374**	$ 1,965,974
Premium on risk management activities	**1,241,246**	824,094
	3,549,620	2,790,068
Oil		
Sales from production	**395,197**	416,191
Premium on risk management activities	**7,499**	13,873
	402,696	430,064
Condensate		
Sales from production	**1,271,203**	1,250,872
(Loss) on risk management activities	**(531)**	(843)
	1,270,672	1,250,029
NGL		
Sales from production	**965,250**	1,096,734
(Loss) on risk management activities	**(17,920)**	(8,656)
	947,330	1,088,078
Marketing revenue [(1)]	**132,679**	91,804
Total		
Commodity sales from production	**4,940,024**	4,729,771
Premium on risk management activities	**1,230,294**	828,468
Marketing revenue	**132,679**	91,804
Revenue from contracts with customers	**$ 6,302,997**	$ 5,650,043

(1) Marketing revenue represents the sale of commodities purchased from third parties. For the year ended December 31, 2025, the Company had marketing purchases from third parties of $117.8 million (2024 - $69.1 million).

Investments

The Company does not plan to dispose of investments in the foreseeable future, and therefore has measured deferred tax relating to these investments using the tax rates applicable to dividends, which are zero because such dividends are tax-exempt. As a result, no deferred tax has been recognized.

15. EARNINGS PER SHARE

Basic earnings per share was calculated as follows:

	Years Ended December 31,	
	2025	**2024**
Net income and comprehensive income *(000s)*	**$ 262,672**	$ 1,264,109
Weighted average number of common shares – basic	**381,600,686**	357,032,435
Earnings per share – basic	**$ 0.69**	$ 3.54

Diluted earnings per share was calculated as follows:

	Years Ended December 31,	
	2025	**2024**
Net income and comprehensive income *(000s)*	**$ 262,672**	$ 1,264,109
Weighted average number of common shares – diluted	**383,938,857**	360,249,193
Earnings per share – fully diluted	**$ 0.68**	$ 3.51

There were 12,834,971 options excluded from the weighted average share calculation for the year ended December 31, 2025 because they were anti-dilutive (December 31, 2024 – 8,662,621).

16. SHARE-BASED PAYMENTS

STOCK OPTION PLAN

The Company has a rolling stock option plan. Under the employee stock option plan, the Company may grant options to its employees up to 29,029,305 shares of common stock, which represents 7.5% of the current outstanding common shares. The exercise price of each option equals the volume-weighted average market price for the five days preceding the issue date of the Company's stock on the date of grant and the option's maximum term is seven years. Options are granted throughout the year and vest 1/3 on each of the first, second and third anniversaries from the date of grant.

	Years Ended December 31, 2025		Years Ended December 31, 2024	
	Number of Options	**Weighted Average Exercise Price**	**Number of Options**	**Weighted Average Exercise Price**
Stock options outstanding, beginning of year	**17,417,581**	**$ 57.14**	14,224,264	$ 50.69
Granted	**4,845,440**	**63.27**	5,136,100	65.67
Exercised	**(1,248,058)**	**30.84**	(1,626,261)	25.32
Expired/cancelled	**(263,466)**	**67.21**	(316,522)	69.29
Stock options outstanding, end of year	**20,751,497**	**$ 60.02**	17,417,581	$ 57.14